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Pension consultants call for greater awareness as scale of IHT change burden becomes clear

Consultants expect significant operational challenge as reforms come in



Alex Levy

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Image: Pictured left to right: Barnett Waddingham's Julian Mainwood; HS Trustees' Palwinder Hare; LCP's Justine Joy; NFP's Martin Parish

The new inheritance tax (IHT) regime will bring fresh administrative challenges for providers and pension scheme administrators (PSAs), consultants say.

From April 2027, most unused pension pots will fall within a member's estate and could become subject to IHT for the first time, meaning schemes will need to work more closely with personal representatives, beneficiaries and HMRC after a member's death.

Although the tax will only be payable by a minority of higher-value estates, consultants expect the operational impact to be wider, with new processes needed to deal with estates that may not end up being taxable.

NFP is an Aon company which provides risk, benefits and retirement plan advisory services. Head of retirement Martin Parish said that the administrative implications of the changes will add to the "journey of burdens" which providers have experienced since the introduction of auto-enrolment in 2012.

"This is another chink in the armour that they're having to deal with to be ready for April 2027," he said.

Parish called for far greater coordination between stakeholders, including executors, lawyers and providers, to ensure estates are dealt with properly and efficiently – [adding there was still a lack of awareness of the changes in the institutional sector and among pension professionals.](#)

He said there needs to be a push by advisers to ensure that employers are informed about the changes and can pass on information to members, who he said are increasingly relying on employers for financial support.

He said: "Ultimately, from an employer perspective, this is an individual financial planning burden. But many employers have a feeling of responsibility to help their staff financially above and beyond just pay."

Operational impact

Consultants are particularly concerned about how personal representatives (PRs) will be able to track down pensions when the deceased has a fragmented set of pension assets across a number of defined benefit (DB) and defined contribution (DC) schemes.

Despite HMRC figures estimating that a further 10,500 estates will fall within the scope of paying IHT in 2027/28, LCP partner Justine Joy stressed that the operational impact is likely to extend "well beyond estates that ultimately pay IHT".

She said: "Processes will need to change for all deaths where a benefit may be payable, because there are additional identification and disclosure requirements that can now be triggered even in cases where no IHT is due. Administrators will therefore need to be ready to verify the personal representative and be ready to provide relevant information in all cases, even though in most no tax will eventually be due."

HM Revenue & Customs set out information sharing requirements [in a May 2026 technical note](#), with the [government publishing finalised regulations on 15 July](#).

The regulations were largely as consulted on, with the main change being that payment of a death in service benefit will no longer be an event that must be reported to HMRC. Death in service benefits paid from registered pension schemes are already excluded from the value of a member's estate under the reforms.

The rules include withholding notices, which allow PRs to request that a provider withhold up to 50% of the death benefits payable to each beneficiary for up to 15 months beginning with the month in which the member died, and payment notices asking the provider to make a direct payment to HMRC.

Joy said: "The regulations create a significant new layer of administration around pension death benefits. While the personal representative is central to the IHT process, schemes will be an important source of information."

She added: "This involves gathering and sharing sensitive personal data at an already difficult time for families. It also requires close coordination between ourselves as administrators, trustees, personal representatives, beneficiaries, legal advisers and HMRC. This will be a significant burden for all concerned, meaning it is likely to take longer before benefits can be paid and the risk of complaints will increase too."

Barnett Waddingham partner Julian Mainwood said that while trustees will mainly rely on their administrators, they will also have a part to play in determining the destination of discretionary death benefits. He added that unanswered questions remain around the mechanism for administrators to pay IHT charges, potentially at short notice.

According to the same regulations, following a request from a PR, the scheme administrator must provide a valuation or estimate of the deceased's notional pension property within 28 days.

While LCP's Joy said administrators should be able to cope with this timeframe for straightforward cases, she said factors such as complex benefit structures, incomplete historical records, multiple administrators, and difficult-to-value assets may pose challenges. Mainwood added that actuarial input or external valuations could also lead to delays.

'Two tiers' and double taxation

Pension consultants have also criticised the reforms for creating a "two-tier" system under which reliefs which apply to the main estate will not apply to pensions. These include loss on sale relief, business relief and agricultural relief.

PRs are usually allowed to pay IHT in instalments on assets including commercial property, however under the reforms, this will not apply if those assets are held in pensions. This may cause difficulties for PRs when it comes to selling illiquid assets to settle an IHT bill.

AJ Bell head of public policy Rachel Vahey said: "The result is an unfair and unnecessarily complex system. Families could lose access to loss on sale relief, business property and agricultural property relief and the option to pay IHT in instalments on certain assets, solely because they are held within a pension."

Many have also warned of the possibility of double taxation. Under the new rules, IHT is charged at 40% on the value of an estate above the available nil-rate bands, currently £325,000 plus a residence nil-rate band of up to £175,000. Benefits passing to a surviving spouse or civil partner remain exempt, so most pension death benefits will not be taxed at all.

Where they are, and the member died aged 75 or over, the beneficiary's withdrawals will also be taxed as income at their marginal rate — meaning the same money is hit twice, at a combined effective rate of up to around 67% for an additional rate taxpayer.

NFP's Parish suggested this might create a new fiduciary duty for trustees beyond the workplace.

He said: "As we're looking at the longevity of products, if people are going into master trusts through workplace and then into retirement, you're in one product for that journey. Where is the trustee fiduciary duty on helping people in their 70s understand the tax implications of the new IHT landscape, especially if you're doing drawdowns through that product?"

The industry prepares

According to Barnett Waddingham's Mainwood, administrators have been preparing for the implementation of new rules since the 2024 budget while awaiting further detail to feed into system development. LCP said it has set up cross-functional working groups involving administration, legal, actuarial and tax specialists.

The consultancy is also mapping all potential death benefits payable under the schemes it administers, noting it is working with trustees and lawyers to identify which benefits are likely to be in scope of the new IHT regime.

Professional trustee Palwinder Hare noted increased communications from large pension funds recommending that members review their "expression of wishes" in the light of IHT changes and ensure their pension details are readily available to PRs.

[The latest HMRC figures](#), published today (21 August), have shown that IHT liabilities are on the rise as frozen tax-free thresholds bring more estates into scope and asset values rise. Receipts for the tax between April and July 2026 were £3.2 billion, £100m higher than the same period last year.

Isio head of wealth planning Mark Campbell said: "As property, savings and investments rise in value, families who may not consider themselves wealthy could find their estates approaching these [IHT] thresholds."

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